CASCADIA ANALYTICS

EnerSys

Equity Research Note | ENS | 22 OCTOBER 2026

Mispriced

EnerSys screens as a Buy with a $193.53 blended target, 15% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$168.60	$193.53	+15%	BUY

Investment Thesis

Mispriced. Market prices ENS as a cyclical forklift battery company at 3.1% implied growth; A&D backlog (+27%) and AI data center power demand are not credited. Margin expansion. IRC 45X production credits are recorded in cost of sales ($158.6M in FY2026, 4.2% of revenue) and the Q1 FY27 GAAP operating margin was 16.2%. The credits run at the full rate through 2029 and phase out from 2030, which is the named risk to the terminal margin. Risk/reward. +15% upside to $193.73 base against -17% to the $140.15 bear

- Mispriced
- Margin expansion
- Risk/reward

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The latest print

Margin expansion. IRC 45X production credits are recorded in cost of sales ($158.6M in FY2026, 4.2% of revenue) and the Q1 FY27 GAAP operating margin was 16.2%. The credits run at the full rate through 2029 and phase out from 2030, which is the named risk to the terminal margin.

Risk/reward. +15% upside to $193.73 base against -17% to the $140.15 bear case; 1.3x leverage and $218M quarterly FCF provide downside protection.

$935.6M	16.2%	$217.8M	1.3x EBITDA	+27%	$0.2625/qtr
REVENUE (Q1 FY27)	OPERATING MARGIN (GAAP)	FREE CASH FLOW (Q)	NET LEVERAGE	A&D BACKLOG	DIVIDEND

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q1 FY27)	$935.6M	+4.8%	Up
Operating Margin (GAAP)	16.2%	+~700 bps	Up
Free Cash Flow (Q)	$217.8M	Strong	Up
Net Leverage	1.3x EBITDA	Down	Down
A&D Backlog	+27%	Accelerating	Up
Dividend	$0.2625/qtr	Stable	Flat

The moat

A&D backlog conversion: Specialty segment +27% backlog, munitions +230% YTD converting to revenue

The growth engine

AI data center backup power: rising rack density drives hyperscale battery demand

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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EnerSys valuation framework

SCENARIO	WEIGHT	2027-31 CAGR	2031 REVENUE	2031 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	2.0%	$4.14B	12.0%	**$140.15**	-17%
Base	50%	6.0%	$5.02B	14.5%	**$193.73**	+15%
Bull	25%	9.0%	$5.77B	16.5%	**$246.53**	+46%

Bear: downside case at $140.15 (-17%).

Base: central case at $193.73 (+15%).

Bull: upside case at $246.53 (+46%).

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The probability-blended target implies 15% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +15% from the $168.60 reference price.

$193.53
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Valuation horizon	**2027-2031**
Live WACC	**9.38%**
WACC path (Year 1 to final year)	**9.38% to 8.68%**
Terminal growth	**2.5%**
Net debt	**$508M**
2031 FCF (Base)	**$574M**
10-year Treasury yield	**4.9%**
Beta	**1.19**
Equity risk premium	**3.7%**

BUY | $193.53 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 3.1%, between Bear (2%) and Base (6%) — cautious.

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Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
+0%	$5.8B	$145.66	+20%	$13.1B	$350.00	+40%	$27.0B	$735.60
+1%	$6.0B	$152.82	+21%	$13.6B	$364.25	+41%	$28.0B	$761.35
+2%	$6.3B	$160.26	+22%	$14.2B	$378.95	+42%	$28.9B	$787.82
+3%	**$6.6B**	**$167.97**	+23%	$14.7B	$394.12	+43%	$29.9B	$815.02
+4%	$6.9B	$175.96	+24%	$15.3B	$409.78	+44%	$30.9B	$842.96
+5%	$7.2B	$184.26	+25%	$15.9B	$425.92	+45%	$31.9B	$871.67
+6%	$7.5B	$192.85	+26%	$16.5B	$442.57	+46%	$33.0B	$901.17
+7%	$7.8B	$201.76	+27%	$17.1B	$459.74	+47%	$34.1B	$931.45
+8%	$8.1B	$210.98	+28%	$17.7B	$477.43	+48%	$35.2B	$962.55
+9%	$8.5B	$220.53	+29%	$18.4B	$495.66	+49%	$36.4B	$994.48
+10%	$8.8B	$230.43	+30%	$19.1B	$514.45	+50%	$37.6B	$1,027.25
+11%	$9.2B	$240.67	+31%	$19.8B	$533.80	+51%	$38.8B	$1,060.88
+12%	$9.6B	$251.26	+32%	$20.5B	$553.73	+52%	$40.0B	$1,095.40
+13%	$10.0B	$262.22	+33%	$21.2B	$574.25	+53%	$41.3B	$1,130.80
+14%	$10.4B	$273.56	+34%	$22.0B	$595.38	+54%	$42.6B	$1,167.13
+15%	$10.8B	$285.28	+35%	$22.8B	$617.12	+55%	$43.9B	$1,204.38
+16%	$11.2B	$297.39	+36%	$23.6B	$639.50	+56%	$45.3B	$1,242.58
+17%	$11.7B	$309.91	+37%	$24.4B	$662.52	+57%	$46.7B	$1,281.75
+18%	$12.2B	$322.85	+38%	$25.3B	$686.20	+58%	$48.2B	$1,321.91
+19%	$12.6B	$336.21	+39%	$26.1B	$710.56			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$5.57B	—	2.5%	-$508M	$5.06B	**$140.15**
Base	$7.50B	—	2.5%	-$508M	$7.00B	**$193.73**
Bull	$9.41B	—	2.5%	-$508M	$8.90B	**$246.53**

Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 75.1% of Base enterprise value (Bear 73.0%, Bull 76.2%). The terminal WACC is 8.68% in Base (Bear 8.68%, Bull 8.68%), on a terminal beta of 1.00 (Bear 1.00, Bull 1.00).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2027	2028	2029	2030	2031
Bear	$140.15	$153.30	$156.84	$160.51	$163.34	$166.18
Base	$193.73	$211.90	$219.42	$226.39	$232.67	$238.64
Bull	$246.53	$269.65	$280.86	$291.31	$300.73	$309.42

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $193.53 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

A&D backlog conversion: Specialty segment +27% backlog, munitions +230% YTD converting to revenue

AI data center backup power: rising rack density drives hyperscale battery demand

IRC 45X tax credits: structural FCF uplift from domestic manufacturing

Revenue and margin trend

METRIC	FY2022	FY2023	FY2024	FY2025	FY2026	LTM
Revenue ($B)	3.36	3.71	3.58	3.62	3.75	3.79
Gross Margin	n/a	n/a	n/a	n/a	n/a	n/a
Op Margin (GAAP, latest qtr)	n/a	n/a	n/a	~10%	~13%	16.2%
FCF Margin	n/a	n/a	n/a	n/a	n/a	~19%

Valuation cross-check

Forward P/E 11.7x

PEG 0.91x

EV/EBITDA ~8x

FCF yield ~13%

Cheap on all absolute metrics; DCF implies +15% upside to the base case.

Industrial peers trade 10-14x EV/EBITDA

ENS at a discount despite A&D mix shift; re-rating candidate.

Forward P/E 11.7x below 5-yr average

Near trough multiple as market prices industrial weakness.

What to monitor

Jan 2027. Q3 FY27 Earnings (Positive): A&D conversion pace and margin trajectory.

2027. Hyperscale Design Wins (Positive): Data center backup power contracts.

2027. 45X Credit Clarity (Two-Sided): Durability of tax benefit under policy review.

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Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$3.0B	$739M	$216M	—
2022	$3.4B	$750M	$206M	—
2023	$3.7B	$840M	$278M	$361M
2024	$3.6B	$983M	$352M	$434M
2025	$3.6B	$1.1B	$465M	$559M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$3.5B	$1.9B	$1.5B	$452M
2022	$3.7B	$2.2B	$1.5B	$402M
2023	$3.6B	$2.0B	$1.6B	$347M
2024	$3.5B	$1.7B	$1.8B	$333M
2025	$4.0B	$2.1B	$1.9B	$343M

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$358M	$-70M	$-189M	$288M
2022	$-66M	$-74M	$98M	$-140M
2023	$280M	$-89M	$-270M	$191M
2024	$457M	$-86M	$-371M	$371M
2025	$260M	$-121M	$90M	$139M

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $193.53 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 58 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 1.32% of shares outstanding. Form 4 filings over the trailing six months show $24.7K of open-market purchases against $0 of sales, a net flow of $24.7K. One-year total shareholder return is +46.0% against CEO total pay of $2.62M (Mr. Shawn M. O'Connell), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	8 / 40	1.32% of shares held by insiders
Form 4 Flow (Conviction Flow)	24 / 30	Buys $24.7K (1) vs sales $0 (0), net $24.7K, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +46.0%; Mr. Shawn M. O'Connell, President, COO, CEO & Director, total pay $2.62M
Agency Risk Score	**58 / 100**	Regime: BALANCED / TYPICAL CORPORATE

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-05-29	Funk Andrea J.	Chief Financial Officer	BUY	108	$24.7K

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SEC proxy audit, DEF 14A filed 2026-07-02

Alignment grade C. NEW CEO TRANSITION IN FY2026. Shawn M. O'Connell, fiscal 2026 vs fiscal 2025; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

Shawn M. O'Connell assumed the role of President and CEO on May 23, 2025, succeeding prior executive leadership during fiscal year 2026. The provided filing excerpt contains introductory governance and director election disclosures but omits the Summary Compensation Table and CD&A sections. A complete review of the full DEF 14A is required to quantitatively assess base salary, incentive payouts, and alignment with shareholder returns.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1289308/000119312526294512/d32071ddef14a.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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EnerSys valuation framework

The bear case

Industrial cyclicality

Motive Power exposed to warehouse/manufacturing capex; deep recession pressures volumes.

Lead price volatility

Key input cost; spikes compress margins if not passed through.

Defense budget shifts

US spending priority changes could slow A&D backlog conversion.

The strengths

Operating Quality

16.2% GAAP operating margin in Q1 FY27 (filed fiscal-year margins were single digits before FY2025), 19% LTM FCF margin, 1.3x net leverage. Narrow-wide moat via switching costs and TPPL technology. The margin level includes IRC 45X production credits ($136.4M in FY2024, $184.6M in FY2025, $158.6M in FY2026, recorded in cost of sales); on an adjusted basis the FY2026 operating margin was about 14.4%, the level the Base terminal margin carries forward.

Recent Trend

Revenue +4.8% YoY (modest), but margins expanding materially and FCF surging to $217.8M. A&D backlog inflection offsets Motive Power softness.

Forward Growth

A&D backlog +27% (munitions +230% YTD), AI data center power density tailwinds, 45X credits. Base case 6% revenue CAGR is achievable.

Valuation

Forward P/E 11.7x is cheap vs the market; PEG 0.91 signals growth at a reasonable price. Trades at a discount to industrial peers on EV/EBITDA.

Cascadia scorecard

Composite score 73: Attractive. Confidence High, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	16.2% GAAP operating margin in Q1 FY27 (filed fiscal-year margins were single digits before FY2025), 19% LTM FCF margin, 1.3x net leverage. Narrow-wide moat via switching costs and TPPL technology. The margin level includes IRC 45X production credits ($136.4M in FY2024, $184.6M in FY2025, $158.6M in FY2026, recorded in cost of sales); on an adjusted basis the FY2026 operating margin was about 14.4%, the level the Base terminal margin carries forward.	78
Recent Trend	Revenue +4.8% YoY (modest), but margins expanding materially and FCF surging to $217.8M. A&D backlog inflection offsets Motive Power softness.	72
Forward Growth	A&D backlog +27% (munitions +230% YTD), AI data center power density tailwinds, 45X credits. Base case 6% revenue CAGR is achievable.	75
Valuation	Forward P/E 11.7x is cheap vs the market; PEG 0.91 signals growth at a reasonable price. Trades at a discount to industrial peers on EV/EBITDA.	72
Catalysts & Risk	Catalysts: A&D backlog conversion, hyperscale design wins, 45X durability. Risks: industrial cyclicality, lead price volatility, defense budget shifts.	68

Investment view

Motive Power book-to-bill above 1.0x for two quarters signals the industrial trough has passed (bullish). Specialty revenue growth below 10% undermines the A&D thesis (bearish). Net leverage above 2.5x constrains buyback and dividend (bearish).

Investment view: Buy. The $193.53 blended target implies +15%, balancing the $140.15 / $193.73 / $246.53 Bear / Base / Bull outcomes.

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